A Practical Guide to Personal Finance

Budgeting, saving and investing for young professionals

This short guide explains how to build a simple monthly budget, create an emergency fund, and start investing with small amounts. It is written for readers who have just started their first job and want clear, practical steps rather than complex theory.

Each chapter ends with a checklist. You can read the chapters in any order, but the first two chapters lay the foundation for everything that follows.

Read more at example.org/finance-guide.

Chapter 1. Know where your money goes

Most people underestimate how much they spend on small, daily purchases. A coffee on the way to work, a taxi when it rains and a few online orders each week can add up to a significant share of a monthly salary.

The first step is not to cut spending but to measure it. For one month, write down every expense, however small. Use a notebook, a spreadsheet or a banking app; the tool matters less than the habit.

At the end of the month, group your expenses into a few categories: housing, food, transport, family support, entertainment and savings. You will often find one category that is much larger than you expected.[1]

Fixed and variable costs

Fixed costs, such as rent or loan repayments, stay the same every month. Variable costs, such as groceries or fuel, change from month to month. Reducing a fixed cost usually requires a bigger decision, for example moving to a cheaper apartment.

Variable costs are easier to adjust. Small changes, repeated every week, can free up money for your goals without making life feel restricted.

Review your categories again after three months. Your priorities may change, and your budget should change with them.

[1] In our survey of 200 readers, food delivery was the most underestimated category.

Chapter 2. Build a simple budget

A good budget is **simple enough to follow** and *flexible enough to survive surprises*. Many readers like the 50/30/20 rule as a starting point:

- 50% of income for needs: housing, food, transport and utilities.
- 30% for wants: travel, hobbies, eating out and gifts.
- 20% for savings and paying off debt.

If your rent is high, start with a smaller savings rate and increase it by one percentage point every few months. The direction matters more than the starting number.

Five steps to start this weekend

1. Calculate your net monthly income after tax and insurance.
2. List your fixed costs and subtract them from your income.
3. Set a weekly limit for variable spending.
4. Open a separate account for savings and automate a transfer on payday.
5. Check your progress every Sunday for ten minutes.

For a free budget template, visit our template page.

Chapter 3. An example budget

The table below shows a monthly budget for a person earning 15 million dong after tax.

Category	Amount (million VND)	Share of income	Notes
Housing	4.5	30%	Shared apartment near the office
Food	3.0	20%	Mostly cooked at home
Transport	0.8	5%	Motorbike fuel and parking
Family support	1.5	10%	Sent to parents monthly
Wants	2.2	15%	Cafés, books and short trips
Savings	3.0	20%	Emergency fund first

Table 1. Example monthly budget. Figures are rounded.

Notice that savings are treated as a fixed cost. When saving is automatic, you do not need willpower every month, and the remaining money can be spent without guilt.

If an unexpected expense appears, reduce the wants category first. Only touch the savings line when the situation is truly urgent.

Chapter 4. Let time do the work

Small amounts invested regularly can grow surprisingly large because returns are reinvested.

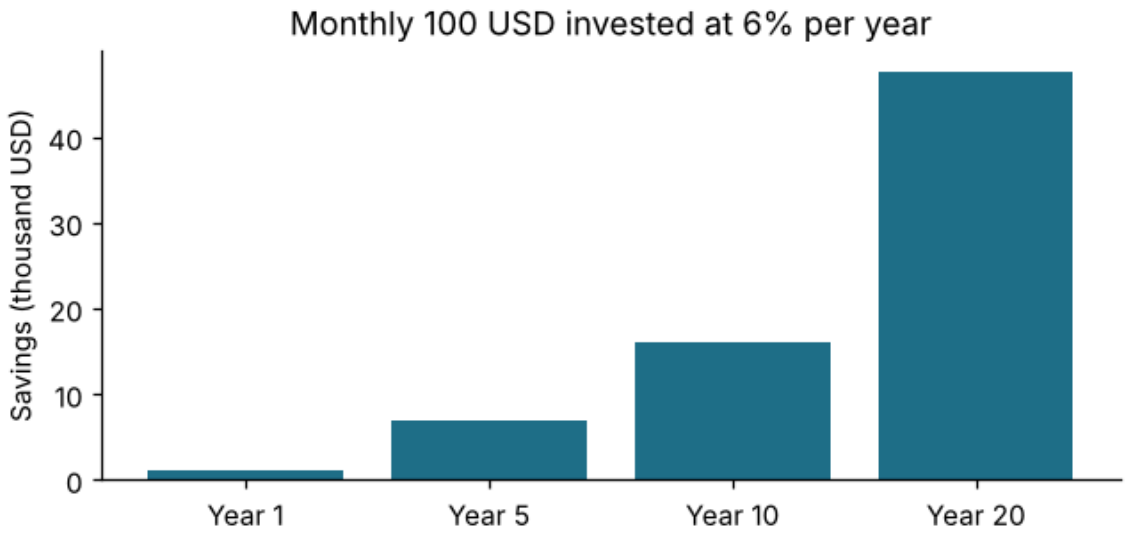


Figure 1. Growth of 100 USD invested every month at an average return of 6% per year.

The chart is an illustration, not a forecast. Real markets go up and down, and past returns do not guarantee future results. Still, the pattern is clear: the earlier you start, the more time your money has to grow.

Before investing, make sure you have an emergency fund that covers three to six months of essential costs. Investing money you may need next month forces you to sell at a bad time.

Chapter 5. Checklist

Key ideas

- Track every expense for one month before changing anything.
- Automate savings on the day you receive your salary.
- Keep an emergency fund before you invest.
- Review your budget every three months.

“Do not save what is left after spending, but spend what is left after saving.”

Personal finance is less about knowledge and more about behaviour. The steps in this guide are easy to understand; the challenge is to repeat them month after month. Start small, be patient, and celebrate progress.

Questions or suggestions? Write to hello@example.org.